



A-Level Economics

7136/2 Paper 2 National And International Economy
Predicted Paper Final Mark scheme

7136
Predicted Paper

Version/Stage: v1.0 [Set B — Hard]

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Assessment Writer.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

This is a predicted paper intended for revision purposes only. It is not an official AQA publication. The mark scheme follows the style and structure of AQA published materials to support realistic practice.

Annotations

Annotation	Description
?	Unclear
AN	Analysis
APP	Application
BOD	Benefit of the doubt
EVAL	Evaluation
Highlight	Highlight
IR	Irrelevant
KU	Knowledge and understanding
NAQ	Not answered question
REP	Repetition
SEEN	Indicates that the point has been noted, but no credit has been given.
Tick	Correct point
Cross	Incorrect point

Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 — Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best-fit approach for defining the level and then use the variability of the response to help decide the mark within the level.

Step 2 — Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Levels of response marking grid — 25-mark questions

The following generic grid should be used when marking all 25-mark questions (questions 0 4, 0 8, 1 0, 1 2 and 1 4 on paper 7136/2).

Level of response	Response	Max 25 marks
5	Sound, focused analysis and well-supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning • includes supported evaluation throughout the response and in a final conclusion.	21–25 marks
4	Sound, focused analysis and some supported evaluation that: • is well organised, showing sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes some good application of relevant economic principles to the given context and, where appropriate, some good use of data to support the response • includes some well-focused analysis with clear, logical chains of reasoning • includes some reasonable, supported evaluation.	16–20 marks
3	Some reasonable analysis but generally unsupported evaluation that: • focuses on issues that are relevant to the question, showing satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places • includes fairly superficial evaluation; there is likely to be some attempt to make relevant judgements but these aren't well-supported by arguments and/or data.	11–15 marks
2	A fairly weak response with some understanding that: • includes some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • includes some limited application of relevant economic principles to the given context and/or data to the question • includes some limited analysis but it may lack focus and/or become confused • includes some evaluation which is weak and unsupported.	6–10 marks
1	A very weak response that: • includes little relevant knowledge and understanding of economic terminology, concepts and principles • includes application to the given context which is, at best, very weak • includes attempted analysis which is weak and unsupported.	1–5 marks

Section A

Context 1

Total for this Context: 40 marks

The UK exchange rate and trade performance

- 0 1** Using the data in Extract A (Figure 1), calculate the percentage change in the sterling effective exchange rate between 2015 and 2022. Give your answer to one decimal place. **[2 marks]**

Calculation:

$$(79.1 - 100.0) / 100.0 \times 100 = -20.9\% \text{ (fall)}$$

Response	Max 2 marks
For the correct answer (–20.9% (fall of 20.9%)) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown.	1 mark

- 0 2** Explain how the data in Extract A (Figure 2) suggest that the UK has a comparative advantage in the production of services rather than goods. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that the UK has a comparative advantage in services rather than goods. - clearly explains how this data is evidence that the UK has a comparative advantage in services rather than goods.	4 marks
- includes evidence that shows that the UK has a comparative advantage in services rather than goods - unclear explanation of how this data is evidence that the UK has a comparative advantage in services rather than goods.	3 marks
- includes evidence that shows that the UK has a comparative advantage in services rather than goods - limited or no explanation of how this data is evidence that the UK has a comparative advantage in services rather than goods.	2 marks
- includes evidence that does not clearly show that the UK has a comparative advantage in services rather than goods. - weak or no explanation.	1 mark

Relevant issues include:

- definition of comparative advantage — the ability to produce a good or service at a lower opportunity cost than other countries
- services net balance is strongly positive: EU +£6.6bn and non-EU +£26.6bn (total +£33.2bn)
- goods net balance is strongly negative: EU –£13.9bn and non-EU –£15.3bn (total –£29.2bn)
- the UK has persistent surpluses in services and persistent deficits in goods — a revealed comparative advantage pattern
- services exports to non-EU markets (£63.4bn) are larger than goods exports to the same markets (£42.6bn) — further evidence of the services orientation
- economic interpretation: the UK's factor endowments (high skills, financial infrastructure, English language) give it comparative advantage in financial, legal, creative and professional services

- 0 3** Extract B states that the depreciation was expected to boost UK export competitiveness. With the help of an AD/AS diagram, analyse how a depreciation of sterling is likely to affect UK aggregate demand and the price level in the short run.

[9 marks]

Levels of response marking grid — 9-mark questions

The following generic grid should be used when marking all 9-mark questions in Section A (questions 0 3 and 0 7).

Level of response	Response	Max 9 marks
3	• is well organised and develops one or more of the key issues that are relevant to the question • shows sound knowledge and understanding of relevant economic terminology, concepts and principles • includes good application of relevant economic principles and/or good use of data to support the response • includes well-focused analysis with a clear, logical chain of reasoning • includes a relevant diagram that will, at the top of this level, be accurate and used appropriately.	7–9 marks
2	• includes one or more issues that are relevant to the question • shows reasonable knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles and/or data to the question • includes some reasonable analysis but it might not be adequately developed and may be confused in places • may include a relevant diagram.	4–6 marks
1	• is very brief and/or lacks coherence • shows some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • demonstrates very limited ability to apply relevant economic principles and/or data to the question • may include some very limited analysis but the analysis lacks focus and/or becomes confused • may include a relevant diagram but the diagram is not used and/or is inaccurate in some respects.	1–3 marks

Suggested diagram:

An AD/AS diagram is expected. Axes: price level / real GDP. Initial equilibrium at PL1, Y1. A depreciation of sterling makes UK exports cheaper in foreign currency and imports more expensive in sterling terms. Net exports ($X - M$) rise, increasing AD. The AD curve shifts rightward to AD'. New equilibrium at PL2 > PL1 and Y2 > Y1 — higher price level and higher output. In a Keynesian AD/AS diagram with an upward-sloping SRAS, the price level rises. Credit answers that note the additional cost-push inflation from more expensive imports raising firms' input costs (shifting SRAS leftward), which reinforces the price-level effect.

Relevant issues include:

- definition of depreciation and exchange rate
- the direct effect: cheaper exports, more expensive imports; rise in X, fall in M (assuming Marshall-Lerner condition holds)
- net exports ($X - M$) are a component of AD — AD shifts rightward
- short-run effect: higher price level (demand-pull inflation), higher real GDP, lower unemployment
- cost-push effect: imported inputs become more expensive, raising firms' costs and shifting SRAS leftward — adds to inflation pressure
- short-run limits: the J-curve effect — in the very short run, the trade balance may deteriorate before improving, because export and import contracts are fixed in volume

- Marshall-Lerner condition: net export effect depends on sum of elasticities > 1
- UK application: sterling depreciated c. 15% in 2016 but trade balance response was weaker than predicted — non-price competitiveness factors limit the pass-through
- dynamic effects: sustained depreciation can worsen inflation expectations, forcing a policy response

0 4 Extract C states that 'sustained competitiveness gains must come from structural improvements in productivity, skills and infrastructure, rather than from relying on exchange rate movements.' Use the extracts and your knowledge of economics to evaluate the view that changes in the exchange rate are more important than supply-side reforms for improving the UK's balance of payments position.

[25 marks]

Areas for discussion include:

- the case for exchange rate adjustment: a depreciation can produce rapid change in relative prices of tradables; mechanism widely used historically (e.g. 1992 ERM exit, 2008–09 depreciation)
- Marshall-Lerner condition and J-curve — long-run conditions for depreciation to improve balance
- empirical evidence against relying on exchange rate: UK ran persistent current account deficits despite sterling depreciation in 2007–08 and 2016–17
- the case for supply-side reforms: sustainable improvements in competitiveness come from productivity (0.4% p.a. vs G7 average 1%), skills, infrastructure, R&D;
- evidence: UK's persistent deficit in goods and surplus in services reflects comparative advantage, not just prices — shifting this requires structural change
- Brexit context: loss of frictionless EU trade has weakened the UK's goods balance by more than any exchange rate effect
- non-price competitiveness: quality, design, innovation, branding — matter more in many modern industries than price
- policy instruments: exchange rate in a floating system is not directly controlled by government — depends on BoE's interest rate policy, fiscal stance, global capital flows
- supply-side reforms take years or decades — exchange rate changes work faster but less durably
- combined approach: a competitive exchange rate supports an export-oriented economy, but supply-side reform is needed to build the productive base that benefits from it (German 'Mittelstand' model)
- capital account dimension: UK's services surplus and attractive financial assets mean the current account deficit is readily financed — may reduce urgency of balance-of-payments adjustment

Evaluation / judgement:

- the claim is too strong — exchange rate changes provide short-run stimulus, supply-side reforms provide long-run adjustment
- for sustainable improvement in the balance of payments, supply-side reforms are likely to be more important — the exchange rate merely adjusts relative prices, not underlying productivity
- strongest answers distinguish between short-run and long-run effects, price and non-price competitiveness, and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section A

Context 2

Total for this Context: 40 marks

UK productivity and economic growth

- 0 5** Using the data in Extract D (Figure 3), calculate the percentage difference in output per hour between the UK and Germany in 2023. Give your answer to one decimal place. **[2 marks]**

Calculation:

$(79.3 - 94.6) / 94.6 \times 100 = -15.3 / 94.6 \times 100 = -16.2\%$ (UK lower than Germany by 16.2%)

Response	Max 2 marks
For the correct answer (–16.2% (or 15.3 percentage points below Germany's figure)) with correct working shown.	2 marks
For correct working with an arithmetic slip; OR correct numerical answer without working shown. 1 mark	1 mark

- 0 6** Explain how the data in Extract D (Figure 4) suggest a connection between weak business investment and stagnant real wages in the UK since 2008. **[4 marks]**

Response	Max 4 marks
- includes evidence that clearly shows that there is a connection between weak business investment and stagnant real wages. - clearly explains how this data is evidence that there is a connection between weak business investment and stagnant real wages.	4 marks
- includes evidence that shows that there is a connection between weak business investment and stagnant real wages. - unclear explanation of how this data is evidence that there is a connection between weak business investment and stagnant real wages.	3 marks
- includes evidence that shows that there is a connection between weak business investment and stagnant real wages. - limited or no explanation of how this data is evidence that there is a connection between weak business investment and stagnant real wages.	2 marks
- includes evidence that does not clearly show that there is a connection between weak business investment and stagnant real wages. - weak or no explanation.	1 mark

Relevant issues include:

- business investment as a share of GDP fell from 10.8% (2008) to 9.6% (2024) — a persistent decline
- real median weekly earnings were essentially flat: 100.0 (2008) to 100.4 (2024) — just a 0.4% rise in 16 years
- economic mechanism: investment raises capital per worker, which raises labour productivity, which is the principal driver of real wages
- without investment, productivity stagnates, limiting the scope for real wage growth
- real GDP per capita grew only 4.1% over 16 years — consistent with flat productivity and flat wages
- candidates may note correlation does not prove causation — other factors (trade union density, gig economy, global competition) also affect real wages

- 0 7** Extract E states UK labour productivity growth has averaged just 0.4% per year. With the help of a diagram showing long-run aggregate supply (LRAS), explain how an increase in labour productivity affects the UK's potential output and price level. **[9 marks]**

Suggested diagram:

An AD/AS diagram showing the LRAS curve is expected. Axes: price level / real GDP. Vertical LRAS at Y^* (potential output). Downward-sloping AD, upward-sloping SRAS, equilibrium at PL_1 , $Y_1 = Y^*$. An increase in labour productivity raises the productive potential of the economy, shifting LRAS rightward from LRAS1 to LRAS2, with $Y_2^* > Y_1^*$. Simultaneously, SRAS also shifts rightward (higher productivity reduces unit labour costs). New equilibrium at $PL_2 < PL_1$ and $Y_2 > Y_1$ — higher output and lower price level. A PPF diagram is also acceptable — the PPF shifts outward.

Relevant issues include:

- definitions: labour productivity (output per worker / per hour), LRAS, potential output
- LRAS shifts rightward as productivity improves — higher potential output
- SRAS also shifts rightward because higher productivity reduces unit labour costs
- new equilibrium: higher real GDP and lower price level — non-inflationary growth
- mechanism: investment in capital (machines, IT), education and training, R&D; all raise productivity
- productivity growth is the principal long-run driver of living standards — without it, growth is limited by labour force growth
- UK application: 0.4% p.a. productivity growth since 2008 has limited growth in real GDP per capita; stronger productivity growth would raise the LRAS trajectory over time
- international comparison: G7 productivity leaders have raised LRAS faster than the UK, explaining the widening output-per-hour gap
- distinction between labour and total factor productivity — TFP captures technological progress beyond simple capital / labour accumulation

0 8 Extract F states 'without a substantial increase in both public and private investment, the UK's productivity performance is likely to remain weak...' Use the extracts and your knowledge of economics to evaluate the view that a sustained increase in government investment is the most effective way for the UK to address its productivity puzzle.

[25 marks]

Areas for discussion include:

- the case for government investment: UK public investment is below OECD average; clear gaps in transport, digital, energy, housing infrastructure; public investment has positive externalities private markets underprovide
- public investment can crowd-in private investment (network effects); productive public capital lowers costs for private firms
- evidence: UK public sector net investment has been c. 2% of GDP vs OECD average c. 3.5%
- the case against relying on public investment: the productivity puzzle is multi-causal; private business investment (down from 10.8% to 9.6%) is arguably the larger shortfall; public investment cannot address weak innovation or skills
- alternative / complementary explanations of the puzzle: decline of North Sea oil and financial services; skills shortages; low R&D; spending (c. 2.4% of GDP vs 3.1% in Germany); "zombie firms" (Extract F); measurement issues with digital services
- alternative / complementary policies: R&D; tax credits; Full Expensing (capital allowances); Apprenticeship Levy and T-levels; regional policy; planning reform; energy market reform; corporate governance reform to boost investment horizons
- policy uncertainty as a constraint: frequent changes to tax rules and regulation have discouraged private investment — credibility and stability may be as important as the level of public spending
- government failure risks: White-elephant projects (HS2 cost overruns); politically-motivated site selection; poor productivity within the public sector itself
- international comparisons: Germany's high productivity reflects a broad ecosystem (apprenticeships, Mittelstand, co-determination) — not just public investment
- evidence from infrastructure economics: properly selected public investment can have high social returns (BCR > 2 for many UK transport projects); but selection and delivery matter
- financing implications: debt-financed public investment can be self-financing if growth impact is large (Keynesian logic), but depends on bond-market reaction
- time horizon: effects of investment on productivity take a decade or more — short-run impact is limited

Evaluation / judgement:

- government investment can contribute significantly but is unlikely to be sufficient alone — the puzzle is multi-causal
- a comprehensive strategy (public + private investment, skills, innovation, institutions) is likely to be more effective than any single instrument
- the quality and selection of public investment matters as much as the quantity
- strongest answers recognise the multi-causal nature of the puzzle and reach a reasoned judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Section B

Levels of response marking grid — 15-mark questions

The following generic grid should be used when marking all 15-mark questions in Section B (questions 0 9, 1 1 and 1 3).

Level of response	Response	Max 15 marks
3	A good response that: • is well organised and develops a selection of the key issues that are relevant to the question • shows sound knowledge and understanding of economic terminology, concepts and principles with few, if any, errors • includes good application of relevant economic principles to the given context and, where appropriate, good use of data to support the response • includes well-focused analysis with clear, logical chains of reasoning.	11–15 marks
2	A reasonable response that: • focuses on issues that are relevant to the question • shows satisfactory knowledge and understanding of economic terminology, concepts and principles but some weaknesses may be present • includes reasonable application of relevant economic principles to the given context and, where appropriate, some use of data to support the response • includes some reasonable analysis but which might not be adequately developed or becomes confused in places.	6–10 marks
1	A weak response that: • has identified one or more relevant issues • has some limited knowledge and understanding of economic terminology, concepts and principles but some errors are likely • has very limited application of relevant economic principles to the given context and/or data to the question • might have some limited analysis but it may lack focus and/or become confused.	1–5 marks

Essay 1 — Total for this Essay: 40 marks

- 0 9** Explain, with the aid of a diagram, how the theory of comparative advantage provides an economic justification for international trade. **[15 marks]**

Areas for discussion include:

- definition of comparative advantage: the ability to produce a good at a lower opportunity cost than others
- distinction from absolute advantage
- Ricardian model: a two-good, two-country example demonstrating that even when one country has absolute advantage in both goods, both countries can gain from specialisation and trade
- PPF / production-possibility diagrams showing gains from specialisation
- pre-trade: each country produces both goods, consuming on its PPF
- post-trade: each country specialises where it has comparative advantage, and trades to reach a consumption point beyond its PPF
- conditions for gains from trade: differing opportunity costs; terms of trade between the two countries' cost ratios
- real-world extension: many goods, many countries, transport costs, tariffs, exchange rates, economies of scale
- limits and criticisms: assumes perfect competition, no externalities; static analysis; ignores distributional consequences
- UK application: comparative advantage in services (Extract A) — consistent with theory

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 0** Evaluate the view that, for the UK economy, the benefits of globalisation outweigh its costs. **[25 marks]**

Areas for discussion include:

- benefits: lower consumer prices (cheaper imports from lower-cost producers); gains from specialisation and scale; access to technology transfer; capital inflows funding UK investment; labour mobility
- consumer surplus gains from imports; productivity gains from competition; dynamic efficiency gains from larger global markets
- UK-specific: the City of London as a global financial centre; services surplus (£33bn in 2024 Q2 alone); FDI into high-tech sectors
- costs: decline of UK manufacturing and associated job losses; widening within-country inequality; pressure on wages in tradable sectors; exposure to global shocks (2008, Covid, 2022 energy crisis)
- distributional consequences: median real wages stagnant since 2008 while top incomes have grown; geographic concentration of decline in old industrial areas
- dependency risks: 2022 supply-chain shocks, Russian gas dependence, semiconductor concentration — reveal the fragility of highly integrated supply chains
- loss of policy autonomy: capital mobility constrains domestic taxation and regulation (race-to-the-bottom concerns)
- environmental externalities of long supply chains; "carbon leakage" to less-regulated economies
- Brexit debate: UK voters' rejection of EU integration reflects perceptions of distributional costs, especially in regions hardest hit by global competition
- policy responses: redistribution via tax and transfer; support for affected workers and regions; regulation to offset market failures; industrial policy to build strategic capability
- net-zero transition as a policy response to environmental costs of global growth
- balance of evidence: cross-country studies generally find net gains from trade openness, but with significant distributional tensions

Evaluation / judgement:

- the aggregate case for globalisation remains strong, but distributional and stability costs have been under-weighted

- whether benefits outweigh costs depends on domestic policy's ability to manage the distributional consequences
- strongest answers recognise that the question is partly about domestic policy, not just globalisation per se, and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 2 — Total for this Essay: 40 marks

- 1 1** Explain how the Bank of England uses monetary policy to meet the UK inflation target. **[15 marks]**

Areas for discussion include:

- the Bank of England's 2% CPI inflation target, set by HM Treasury
- operational independence of the BoE since 1997; MPC membership and voting
- Bank Rate as the principal policy tool; transmission through cost of borrowing, asset prices, exchange rate, expectations
- quantitative easing (QE) as unconventional policy during 2009–21; quantitative tightening (QT) since 2022
- forward guidance and communication as tools to shape expectations
- Monetary Policy Report and open letter procedure when inflation deviates by >1pp from target
- symmetric target: rates also cut if inflation falls below target
- typical response to demand-pull inflation: raise Bank Rate to cool AD
- typical response to supply-push inflation: trade-off between inflation and output — may accept temporary inflation to protect output
- recent episode: Bank Rate rose from 0.1% (Dec 2021) to 5.25% (Aug 2023) as CPI peaked at 11.1%
- long and variable lags of 12–18 months — rate decisions target inflation 2 years ahead

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

- 1 2** Evaluate the view that the Bank of England's mandate should be broadened to include objectives beyond controlling inflation, such as supporting employment or tackling climate change. **[25 marks]**

Areas for discussion include:

- the case for a narrow inflation-targeting mandate: clear accountability; credibility reduces long-term interest rates; avoids political pressures; Tinbergen principle (one instrument per objective)
- the current UK mandate: 2% CPI, with secondary objectives of supporting government's economic policy (growth and employment) subject to price stability
- the case for broadening: employment and price stability are linked (Phillips curve, hysteresis); the Fed has a 'dual mandate' including employment; climate change is increasingly recognised as a source of financial risk the Bank should address
- risks of a broadened mandate: conflicting objectives (Phillips trade-off); loss of anchor for inflation expectations; politicisation of monetary policy
- climate change specifically: BoE already stress-tests for climate risk; debate over "green QE" (tilting bond purchases toward green assets)
- hysteresis argument: prolonged unemployment scars workers and reduces LRAS, so avoiding deep recessions has supply-side benefits — dual mandate may internalise this
- alternative: keep mandate narrow but improve complementary policies (e.g. active labour market policy, carbon pricing through fiscal channels)
- international experience: Fed's dual mandate has not systematically raised US inflation; ECB has a primary price-stability mandate with secondary objectives
- the 2022–24 shock: BoE criticised both for being too slow (letting inflation build) and too fast (forcing mortgage stress) — suggests the narrow mandate itself is not the binding problem
- instrumentation issues: central bank tools (rates, QE) are poorly suited to employment or environmental objectives — Tinbergen principle suggests fiscal and regulatory tools should address these

Evaluation / judgement:

- a narrow, credible mandate has clear benefits but can be too inflexible in responding to complex shocks
- broadening risks politicisation and loss of credibility

- a middle path — explicit secondary objectives or escape clauses — may best reconcile the tensions
- strongest answers weigh credibility against responsiveness and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

Essay 3 — Total for this Essay: 40 marks

1 3 Explain the main causes of financial market instability in modern economies. **[15 marks]**

Areas for discussion include:

- definition of financial instability: disruption to the normal functioning of financial markets, credit provision or payment systems
- asymmetric information: adverse selection (lemon problem) and moral hazard — financial markets particularly prone
- herding and asset-price bubbles: positive feedback from rising prices → more buying → higher prices; eventual reversal when pessimism sets in
- leverage and liquidity mismatch: financial institutions borrow short and lend long, making them vulnerable to bank runs when confidence erodes
- systemic risk and contagion: interconnections between institutions mean one failure can spread (Lehman 2008); LIBOR concerns; too-big-to-fail problem
- procyclicality: credit expands in booms (fuelling bubbles), contracts in busts (amplifying downturns)
- regulatory failures: pre-2008 light-touch regulation; shadow banking outside regulated system; failure to anticipate innovations (credit default swaps, CDOs)
- global imbalances: large capital flows (Chinese savings funding US borrowing pre-2008); 'savings glut' hypothesis
- recent UK examples: 2008 Northern Rock / RBS; 2022 "mini-budget" gilt crisis and LDI unwinding; 2023 Silicon Valley Bank failure raising contagion concerns
- behavioural factors: bounded rationality; overconfidence; herd behaviour
- interaction with monetary policy: low interest rates encourage risk-taking ("reach for yield")

Use the levels mark scheme for 15-mark questions to award candidates marks for this question.

1 4 Evaluate the view that tighter regulation of the financial sector is the most effective way to reduce the risk of financial crises in the UK. **[25 marks]**

Areas for discussion include:

- the case for tighter regulation: 2008 crisis demonstrated systemic failures; since then Basel III capital rules, counter-cyclical capital buffers, UK ring-fencing, stress tests have strengthened resilience
- effectiveness evidence: UK banks are far better capitalised than in 2007 (CET1 ratios over 14% vs ~5% pre-crisis); 2022 gilt crisis contained despite initial shock
- macroprudential tools: loan-to-income caps; debt-to-income ratios; stress testing; systemic risk buffer — now central to UK financial stability policy
- the case against regulation as primary response: regulation has limits (regulatory arbitrage — activity moves to shadow banking); risk of stifling productive finance; increased compliance costs
- the case for alternative / complementary approaches: central bank role in monetary stability; deposit insurance; resolution regimes (avoiding too-big-to-fail); separating investment and retail banking (Vickers ring-fencing)
- Minsky's financial instability hypothesis — stability itself breeds risk-taking — suggests regulation alone cannot prevent crises permanently
- international coordination: Basel III and Financial Stability Board work requires global cooperation because of capital mobility
- behavioural insights: regulation that tackles specific biases (e.g. affordability assessments) may be more effective than blanket capital requirements
- recent examples of limits: SVB failure despite supervision; LDI crisis 2022 reflecting non-bank financial intermediation outside the main regulatory perimeter
- government failure risks: regulatory capture; pro-cyclical design; complexity without effectiveness; the 'last war' problem — regulators focus on the previous crisis
- alternative view: macro-prudential + monetary policy working together is the emerging consensus — not regulation alone

- the UK's position post-Brexit: freedom to diverge from EU rules but risks reducing international coordination

Evaluation / judgement:

- regulation has been demonstrably effective since 2008 but cannot prevent all crises
- a combination of regulation, monetary policy, macro-prudential tools, and resolution frameworks is the most effective strategy
- "most effective way" depends on the type of crisis — regulation works against some risks but not all
- strongest answers recognise the complementarity of different tools and reach a supported judgement

Use the levels mark scheme for 25-mark questions to award candidates marks for this question.

END OF MARK SCHEME